

Cash flow

Forecasts, shortages and working capital

YOUR AIM TODAY

Calculate closing balances and recommend responses to shortages.

YOUR RULE

Read the notes twice. Use exact case facts. Every explanation must contain a because link and a therefore business impact. Keep page 4 closed.

Student: Rohan

Start time: _____ Finish time: _____

Date: _____

Knowledge and method

Profit is not cash. A profitable business can fail if it cannot pay bills when due.

- Net cash flow=cash inflows-cash outflows.
- Closing balance=opening balance+net cash flow.
- One month's closing balance becomes the next month's opening balance.
- A forecast identifies timing problems, not guaranteed outcomes.
- Responses include changing payment timing, overdraft, reducing inventory or delaying spending.

MINI CASE

PixelPrint opens September with PKR 400,000. Expected inflows are PKR 700,000 and outflows PKR 1,250,000 because a printer is bought. October inflows are PKR 1,100,000 and outflows PKR 650,000.

WORKED CHAIN

September net flow= $700,000 - 1,250,000 = -550,000$. Closing= $-150,000$, so PixelPrint must arrange finance or change timing before September.

Knowledge, application and analysis

Use the mini case in Questions 3-6.

Question	Your answer
1. Define cash inflow.	
2. Calculate September net cash flow.	
3. Calculate September closing balance.	
4. Calculate October closing balance.	
5. Explain why profit may still be positive in September.	
6. Recommend one response to the September shortage.	

QUALITY CHECK

Circle every case fact. Underline every because link. Box every business impact.

Models and correction log

Wording may differ, but the knowledge and chains must be accurate.

Q	Answer / model points
1	Money entering the business during a period.
2	-PKR 550,000.
3	400,000-550,000=-PKR 150,000.
4	Opening -150,000 plus net flow 450,000 gives PKR 300,000.
5	The printer is a cash payment for a long-term asset; accounting profit and cash timing are different.
6	Arrange an overdraft of at least PKR 150,000 plus a buffer, or negotiate staged printer payments, because October recovers cash; compare interest and supplier terms.

Q	Missing layer	My improved sentence

SEND FOR MARKING

Send pages 3 and 4. Ask for a level, missing chains, and a rewritten model for the weakest response.